

Outlook

From	mandla.mokoena@loan.products.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, compliance.retail@keystonebank.co.za
Sent	Wed, 18 Sep 2024 08:18:00 -0000

Follow-up: approval rate is not the only funnel outcome

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Loan Products wants to understand application drop-off, decline reasons, booked loans and early repayment stress as one journey. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

Could the answer be that some high-conversion channels create weaker early outcomes? Or are we actually seeing that documentation friction drives drop-off? I also do not want us to miss the possibility that affordability declines are concentrated by product.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2024 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which application step, policy explanation or channel process should change. Please send a control view with the exceptions, owner and reason each item was included; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; customer contacts, complaints and suggestions; collections cases, promises to pay and recovery payments. Do not optimise approval rate without affordability, conduct and later-outcome controls.

Regards